

nary transactions have begun to seem commonplace, and astonishing numbers have lost their power to amaze. Old fogies, having complained about an imminent day of reckoning for the past 30 years, are no longer taken seriously, and the debt keeps on being piled higher and higher. It is a fact, for example, that fewer than 9,000 Americans filed for personal bankruptcy in 1946 but that more than 9,000 filed each week in 1988. It is okay to borrow and no mortal sin to welsh.

It is a fact that, in this business expansion, the nation's ratio of corporate cash flow to interest expense has fallen to the lowest level in the postwar period—lower, even, than in the trough of the 1973 recession. It is a fact that William J. Stoecker, a bearded former welder with a line of blarney about the Rust Belt renaissance, succeeded in borrowing millions without the conventional preliminary step of presenting his lenders with a set of audited financials.

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*Good ideas become bad ideas through a competitive process of "Can you top this?"*

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Nor did anyone seem to think it odd when Duff & Phelps, the Chicago-based bond-rating service, underwent a management buyout early this year and issued its own junk bonds. When the deal closed, long-term debt ballooned to \$112 million from \$34 million. Net worth fell to minus \$10.8 million from positive \$3.6 million. Fees and expenses in connection with the buyout ran to almost \$13 million, which was more than the equity contribution of the management investors.

More notable than the numbers was the symbolism. D&P was founded in the Depression to analyze the securities of the then-shipwrecked public utility holding companies. Its stock in trade was the like of Middle West Utilities,